Canada Revenue Agency | Agence du revenu du Canada

December 23, 2025 **Case No: 68810171**

Lynette Hay
1532774 B.C. Ltd.
1584 Pioneer Rd
Kelowna BC V1W 4M6

Dear Lynette Hay:

Subject: Issuance of Cannabis Licence under the *Excise Act, 2001*

As all conditions for licence issuance have now been met, your application for a cannabis licence under the *Excise Act, 2001* (Act) has been approved effective December 19, 2025.

Cannabis licence number

The following licence number should be recorded on all correspondence with the CRA:

77207 8564 RD0001
102-2955 Acland Rd Kelowna BC V1X 7X2

Each of the physical business locations included in the licence application has been provided with a separate account number as follows:

Location	Account Identifier	Account Type	Premises Address
1	RD0001	Filing	102-2955 Acland Rd Kelowna BC V1X 7X2

Acknowledgement of Security

We acknowledge receipt of the required security in the form of certified cheque and the amount of $5,000 (five thousand dollars).

Renewal of Cannabis Licence

Information related to renewing a cannabis licence is provided in Excise Duty Notice EDM6-2, Obtaining and Renewing a Cannabis Licence. Subject to meeting the requirements for maintaining a cannabis licence, the licence will remain in effect for the period specified in the licence.

The expiry date for your licence will be December 18, 2026. In order to renew the cannabis licence, a completed Form L300, Cannabis Licence Application must be submitted to your regional office not later than 30 days before the expiry date. The preferred method for submitting and receiving documents electronically is through the "Submit Documents" service within the different portals in your CRA account. "Submit Documents" is a secure online service that allows taxpayers and their authorized representatives to send their documents to the CRA electronically. To register for a CRA account or to sign in to the My Business Account or Represent a Client portals through your CRA account, please go to Sign in to your CRA account.

Obligations of a Cannabis Licensee

Changes to Information

The CRA must be informed of any changes to the name, legal entity, business or mailing address, location of books and records or changes to any other information provided in the licence application form. The CRA must also be informed if your business/operations have been discontinued or sold.

Books and Records

All cannabis licensees are required to maintain adequate books and records and provide access to those books and records to excise officers. Denied access to books and records or the licensed premises could result in a suspension or the cancellation of a cannabis licence.

Filing of Returns

A form B300, Cannabis Duty and Information Return, for each filing division under your cannabis licence must be filed for each calendar month whether or not any duty is payable. Your returns are due at the end of the month following the calendar month for the production being reported. It should be noted that a licensee who fails to file a return for a reporting period as and when required will be subject to penalty. Similarly, if payment is not made as and when required, a licensee will be subject to interest on the late payment.

Electronic filing of the monthly B300 Cannabis Duty and Information Return, the B301 Application for a Refund of Cannabis Duty, as well as other account information, such as account transactions and balances, licence status and account maintenance activities, is available at Sign in to your CRA account. Electronic filing of returns provides immediate confirmation that your return has been received by the CRA. Enrollment can be completed online, and further information is available at About your CRA account or by phone at 1-800-959-5525.

Monthly excise cannabis returns may also be printed from our Operating a cannabis business? web page so that they may be completed and submitted by mail. Please note that should a return and any payment due not be filed or received within the time limits, penalty and interest charges may be applied in accordance with the Act.

Outreach Visit

Unless an outreach visit has already been conducted, an excise duty officer may contact you in the near future to arrange a site visit. The purpose of the outreach visit is to provide you with more information regarding the excise duties on cannabis products, including the calculation of excise duties on cannabis products. For more information, please visit our Operating a cannabis business? web page, which includes links to relevant publications and regulations.

Further Approvals

Destruction of cannabis product

During the review of the cannabis licence application, we also considered your request for approval of a method of destruction under the Act. Pursuant to section 158.16 of the Act, a cannabis licensee may re-work or destroy a cannabis product in the manner authorized by the Minister of National Revenue (Minister). Your request has been approved. Please see attached Appendix A for more information. If this approved method of destruction changes, a request in writing must be submitted to the Regional Manager of Excise Duty, and approval must be obtained prior to any destruction using the new, unapproved method.

As per section 187.1 of the Act, the Minister may refund to a cannabis licensee the duty paid on a cannabis product that is re-worked or destroyed by the cannabis licensee in accordance with section 158.16 if the licensee applies for the refund within two years after the cannabis product is re-worked or destroyed.

Subparagraph 158.3(a)(iv) of the Act provides that duty is not payable on a cannabis product that is destroyed by the cannabis licensee in a manner approved by the Minister.

Cannabis product taken for analysis

We also reviewed your request for approval of a method of taking cannabis products for analysis under the Act. Pursuant to subparagraph 158.3(a)(iii), duty is not payable on a cannabis product that is taken for analysis by a cannabis licensee in a manner approved by the Minister. Your request has been approved. Please see attached Appendix B for more information. If this approved method of taking a cannabis product for analysis changes, a request must be submitted in writing to the Regional Manager of Excise Duty, and approval must be obtained prior to any cannabis being taken for analysis using the new method.

Should you have any questions or require clarification regarding the above information, please do not hesitate to contact **Tom Lam** at **604-349-7955**. For general information regarding the excise duty on cannabis products please call 1-866-330-3304 or go to Operating a cannabis business?. To request a ruling, interpretation, or make a technical enquiry on cannabis excise duty, please email cannabis@cra-arc.gc.ca.

Sincerely,

R. Coelho
Western (Pacific) Regional Manager
Excise Duties and Taxes
Legislative Policy and Regulatory Affairs

Appendix A

Request for approval of method of destruction

During the review of your cannabis licence application, we also considered your request for approval of a method of destruction under the Act. Pursuant to section 158.16, a cannabis licensee may re-work or destroy a cannabis product in the manner authorized by the Minister. Subparagraph 158.3(a)(iv) also states that duty is not payable on a cannabis product that is destroyed by a cannabis licensee in a manner approved by the Minister.

Based on the information that you provided, we understand the following:

- The location of the destruction will be 102-2955 Acland Rd Kelowna BC V1X 7X2;
- The method of destruction will be grinding and mixing with cat litter, compost, or soil;
- The method will be ongoing; and
- The controls in place will be: destruction witnessed by QAP or designate plus at least one other staff member, comprehensive records of waste destruction including lot numbers, quantities, date, method, and signature of witnesses.

You also indicated that you will maintain the following records:

- Waste management log including lot codes, weight/quantity destroyed, method of destruction, date/time, signature of witnesses
- Inventory movement records
- Detailed records for any destruction deviation incidents
- Corrective and preventive actions records for deviation incidents

Based on the information provided, we have determined that the outlined steps would be sufficient to grant authorization to destroy cannabis products under the following conditions (these conditions would apply to any cannabis products in your possession):

- Adequate records and information, including the date of destruction, type and quantity of cannabis products being destroyed, etc. must be kept/maintained;
- Once the destruction is complete, create a record/certificate of destruction, which should accompany any refund claims submitted for the destruction of duty-paid products; and
- All records for the destruction must be maintained at 102-2955 Acland Rd Kelowna BC V1X 7X2.

Although we reserve the right to be present during any destruction, mandatory notification and witnessing of destruction is not required for regular, routine destruction. However, unusual destruction or the destruction of packaged goods returned from a purchaser are required to be reported and may require witnessing of the destruction by an officer.

Appendix B

Request for approval of a method of taking cannabis products for analysis

In addition to the review of your cannabis licence application, we considered your request for approval of a method of taking for analysis under the Act. Pursuant to subparagraph 158.3(a)(iii), duty is not payable on a cannabis product that is taken for analysis by a cannabis licensee in a manner approved by the Minister.

Based on the information provided, we understand the following:

- The analysis will be conducted at an accredited third party lab;
- The method of analysis will be testing of potency, terpene profile, microbial contamination, mycotoxins, heavy metals, and residual solvents;
- The method will be ongoing; and
- The controls in place will be the adherence to the standard operating procedures, documentation of analysis process (including sampling log, chain of custody forms, submission log, certificates of analysis, and QA release forms), and QAP review and approval.

Please note that if the analysis will be conducted off-site by a third party, the intermediary testing facility will require authorization from Health Canada.

Based on the information provided, we have determined that the outlined steps would be sufficient to grant authorization for taking cannabis products for analysis under the following conditions (these conditions would apply to any cannabis product in your possession):

- You must keep adequate records and information including the date taken for analysis, type and quantity of cannabis products taken, etc.; and
- All records for the cannabis taken for analysis must be maintained at 102-2955 Acland Rd Kelowna BC V1X 7X2.